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Crypto Trust Standard

A Unified Safety Certification Framework for Cryptocurrency Projects

The tools to prevent crypto scams already exist. What doesn't exist is a single enforceable standard that coins must pass before going to market.

Originated by: Shamz · September 2026
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TABLE OF CONTENTS

What's inside

01 Abstract

The core thesis in plain language

02 The Problem

Four scam types costing \$10B+ per year

03 Why Existing Solutions Fall Short

What's already been tried — and why it's not enough

04 The Solution: Crypto Trust Standard

The four-layer framework explained

05 Technical Specification

How each layer works on the blockchain

06 Certification Criteria

What a coin must do to earn the Trust Badge

07 Business Model

Three ways to build a sustainable company around this

08 Market Opportunity

The numbers behind the gap

09 Adoption Strategy

How to get exchanges to require the badge

10 Risks & Mitigations

What could go wrong and how to navigate it

11 Roadmap

From whitepaper to working standard — 18 months

12 Call to Action

Who this document is for and what to do next

Executive Summary

Cryptocurrency fraud costs investors more than \$10 billion annually. Despite operating on a public, transparent blockchain, the crypto market lacks a unified safety standard that coins must meet before being listed on exchanges or marketed to investors.

The individual tools needed to prevent the four most common scam types — rug pulls, pump-and-dump schemes, fake platforms, and AI-generated celebrity endorsements — already exist as separate products. What does not exist is a single enforceable certification framework that bundles all four protections and gives exchanges a simple binary signal: this coin passed, this coin did not.

"The Crypto Trust Standard is the seatbelt law for crypto coins. Not optional. Enforced at the point of listing."

This whitepaper defines that standard: the four technical layers it requires, the criteria for earning a Trust Badge, the business model for sustaining the certification body, and the go-to-market path for achieving exchange adoption. It is intended for exchange compliance teams, institutional investors, regulators, and early-stage partners who want to be part of building the safety infrastructure the crypto industry is missing.

Four Scams. \$10 Billion Lost Every Year.

Blockchain technology is, by design, transparent and permanent. Every transaction is publicly recorded on a ledger that anyone in the world can audit. This should make large-scale fraud impossible. Instead, fraud is the industry's defining problem — not because the blockchain hides it, but because scammers have learned to exploit the gap between what the blockchain records and what ordinary investors understand.

The four dominant attack patterns are:



Rug Pull

How it works: Creators launch a new coin, generate hype, attract investment into a liquidity pool, then drain the pool overnight — often within 24–48 hours of a major price spike. The code that governs the coin has no lock on founder funds; it allows instant withdrawal of everything.

Scale: Chainalysis estimates rug pulls accounted for \$2.8B in losses in 2021 alone. The collapse of Squid Game Token — which reached \$2,856 before the rug — became global news.



Pump & Dump

How it works: A coordinated group (often called 'whales') accumulates a large position in a low-cap coin cheaply. They then generate artificial hype through social media, Telegram groups, and paid influencers. Retail buyers rush in; the whales sell at the peak, crashing the price.

Scale: The FTC reported \$80M in losses from social media-driven crypto pump schemes in early 2021. The pattern repeats daily at smaller scales across thousands of coins.



Fake Platform (Pig Butchering)

How it works: Victims are lured — often through romantic relationships built over weeks or months — onto fraudulent investment platforms that show fabricated profit dashboards. The balances shown are not on any blockchain; they are numbers in a private database the scammer controls. Victims are encouraged to invest more to 'unlock' profits they cannot actually withdraw.

Scale: The FBI's IC3 unit reported \$3.96B in crypto investment fraud in 2023, with pig butchering as the dominant vector. Average victim loss exceeds \$100,000.



Fake Celebrity Endorsement

How it works: AI-generated deepfake videos of Elon Musk, Warren Buffett, Donald Trump and other public figures are used to promote fraudulent coins and platforms. Victims trust the perceived endorsement, invest, and lose everything. The real person has no idea their likeness was used.

Scale: The UK's Financial Conduct Authority flagged a 700% increase in deepfake investment scams in 2023. Most platforms have no mechanism to flag unsigned endorsements.

Why Existing Solutions Fall Short

The crypto industry has not ignored these problems. Several products and services address pieces of the puzzle. The fundamental issue is that they are pieces — not a unified standard — and their adoption is entirely voluntary.

Unicrypt & Team.Finance <i>Liquidity locking tools</i>	Limitation: Allow project founders to lock liquidity pool funds for a set period. Used by some legitimate projects. Not required by any major exchange. Easy to circumvent by launching a second unlocked pool after the original lock expires.
CertiK & Hacken <i>Smart contract audit firms</i>	Limitation: Perform code audits for a fee and issue a report. Valuable — but audits check code correctness, not scam-resistance behaviour. Safemoon was CertiK-audited and still imploded as one of crypto's biggest frauds. Audits are expensive (\$20k–\$100k) and one-time, not ongoing.
ENS Domains <i>Wallet identity</i>	Limitation: Allow wallets to have human-readable names (e.g. 'shamz.eth'). Basic identity layer that exists but has no enforcement mechanism, no connection to real-world identity verification, and no link to endorsement signing.
Anti-whale Mechanisms <i>Supply controls</i>	Limitation: Some coins include wallet holding limits in their code. Not standardised, not required, and often removed silently in subsequent contract upgrades by founders who control the upgrade keys.
SEC / FCA / MiCA Regulation <i>Government oversight</i>	Limitation: Governments are writing rules — MiCA in Europe is now in force, the SEC is aggressively pursuing enforcement in the US. But regulation targets exchanges and securities classification, not the coin-level safety architecture that prevents harm before it happens.

"What's missing is not the tools. It's the mandate. No single entity bundles all four protections into an enforceable listing requirement."

The Crypto Trust Standard

The Crypto Trust Standard is a four-layer certification framework that any cryptocurrency project must satisfy to earn a Trust Badge. The badge signals to exchanges, investors, and regulators that the project has deployed verifiable, on-chain protections against the four dominant scam types.

The analogy is Underwriters Laboratories (UL). UL doesn't manufacture electrical appliances — it certifies them as meeting a safety standard, and major retailers refuse to stock uncertified products. The Crypto Trust Standard operates the same way: it doesn't issue coins, it certifies them. Exchanges don't list uncertified coins. Investors see the badge and know minimum protections are in place.

1

Layer 1: Liquidity Lock

Founder and team token allocations are locked in a smart contract for a minimum of 24 months from the date of public launch. Coins vest monthly at a maximum rate of 4% per month. The lock is enforced by an audited, non-upgradeable smart contract — the founding team cannot accelerate, transfer, or unlock funds outside the schedule.

2

Layer 2: Anti-Whale Enforcement

No single wallet address may hold more than 1% of the total coin supply at any point after the first 30 days of trading. A maximum daily sell volume of 0.25% of total supply per wallet is enforced at the contract level. Both rules are written into the token contract's transfer function and cannot be disabled without a governance vote requiring 67% supermajority.

3

Layer 3: On-Chain Verification Standard

Any platform or application that displays user balances for a certified coin must source those balances in real time from the public blockchain via a verified RPC call. Platforms are prohibited from displaying balances from private databases. This layer is enforced through a cryptographic attestation: the platform signs each balance display with a key registered on-chain.

4

Layer 4: Cryptographic Endorsement Registry

Any person who wishes to promote a certified coin must register their real identity against a wallet address via a zk-proof identity provider (e.g. Worldcoin, Gitcoin Passport, or an approved KYC partner). Promotional content must be cryptographically signed by a registered identity. Unsigned promotional content — including AI-generated video — is automatically flagged by exchange APIs as unverified.

How It Works on the Blockchain

Each of the four layers is implemented through a combination of immutable smart contract code, an on-chain registry, and a public verification API. The following describes the minimum technical implementation for each layer.

Smart Contract Requirements

All certified coins must be deployed using the Trust Standard Token Template — an open-source ERC-20 (Ethereum) or SPL (Solana) smart contract template maintained by the Crypto Trust Standard foundation. The template is non-upgradeable: once deployed, no administrator key can change the vesting schedule, anti-whale limits, or verification attestations.

Vesting contract: A separate, audited VestingVault contract holds all team and founder allocations. The vault's release schedule is fixed at deployment and publicly visible on-chain. No function exists to accelerate or pause the schedule. The vault is not owned by any private key — it is governed by time alone.

Anti-whale transfer hook: The token contract's *transfer()* function includes a before-transfer hook that checks the recipient's post-transfer balance against 1% of total supply. Transfers that would breach the limit revert automatically. The daily sell limit is tracked via a per-address rolling 24-hour volume mapping.

The On-Chain Registry

A central TrustRegistry smart contract (deployed on Ethereum mainnet) stores three datasets: (1) the address of every certified coin's token contract, (2) the cryptographic public keys of identity-verified endorsers, and (3) the signed attestations of platforms authorised to display balances. Any application can query the registry in real time via a public JSON-RPC API. Exchange listing systems can automate Trust Badge display based on registry membership.

Certification Audit Process

Before a project earns its Trust Badge, the Crypto Trust Standard certifying body performs three verification steps:

1

Code Audit

An independent review of the deployed smart contract verifies that the token template has not been modified, the VestingVault address is correct, and the anti-whale hooks are active. The audit is performed by a licensed third-party firm (initially partnered; eventually in-house).

2

Deployment Verification

The certifying body runs an automated on-chain check: reads the vesting schedule, tests the anti-whale hook by simulating an over-limit transfer, and confirms the platform attestation key is registered. This check is re-run quarterly as part of certification maintenance.

3

Identity Registry Check

All founding team members must have a verified identity entry in the endorsement registry before badge issuance. Partial team registration is not accepted.

What a Coin Must Do to Earn the Trust Badge

Certification is binary: a coin either meets the full standard or it does not. There are no partial badges, no 'almost certified' tiers, and no waivers. This binary design is intentional — a partial standard is a loophole, and loopholes are how scammers survive.

REQUIREMENT	MINIMUM THRESHOLD	HOW VERIFIED
Liquidity Lock Duration	24 months minimum from launch date	On-chain VestingVault read
Vesting Rate (max)	4% of founder allocation per month	On-chain VestingVault schedule
Wallet Concentration Limit	No wallet >1% of total supply after Day 30	Simulated transfer test on-chain
Daily Sell Cap	0.25% of supply per wallet per 24 hours	Transfer hook simulation
Platform Attestation	All display platforms must be registry-signed	TrustRegistry API query
Team Identity Verification	100% of named founders registered in identity registry	TrustRegistry identity lookup
Contract Upgradeability	Non-upgradeable: no admin key with override power	Code audit — ownership() function check
Annual Re-Certification	All checks re-run every 12 months	Automated quarterly + annual full audit

What Certification Does NOT Guarantee

The Trust Badge signals that a coin has implemented verified, on-chain anti-scam protections. It does not guarantee the coin will increase in value, succeed commercially, or represent a good investment. Certification is a safety floor, not a financial endorsement. The certification body takes no responsibility for the investment performance of certified coins.

Three Ways to Capture the Opportunity

The Crypto Trust Standard can be built as a business in three distinct ways. Each has different capital requirements, revenue profiles, and adoption risks. They are not mutually exclusive — the recommended path starts with Option A and incorporates elements of Option C as scale increases.

Option A

The Certification Platform

Recommended starting point

Revenue model

Annual certification fee: \$5,000–\$50,000 per coin depending on market cap and complexity. Re-certification annually at 60% of original fee.

Comparable

CertiK reportedly earns \$50M+ per year on partial code audits alone. Full-stack certification of a growing market is a larger, stickier revenue model.

Capital required

Low: \$200k–\$500k to build the verification API, hire two blockchain engineers, and certify the first 20 coins as proof of concept.

Risk

Adoption depends on exchanges mandating the badge. Without exchange buy-in, demand for certification is voluntary — and slow.

Option B

The Trust Token

Higher upside, higher complexity

Revenue model

Native token (e.g. TRUST) appreciated via staking demand. Projects stake TRUST tokens to signal compliance. Rug pullers forfeit their stake automatically — the code enforces the economic penalty.

Comparable

Proof-of-stake security model applied to project reputation rather than blockchain consensus.

Capital required

Medium: \$1M–\$3M to build the staking infrastructure, bootstrap liquidity, and launch the token compliantly.

Risk

Launching a token before the standard has credibility risks looking like the very thing the standard is designed to prevent — a coin launched for hype. Timing matters. Do this after Option A has traction.

Option C

The Infrastructure Play

Long-term, open-source moat

Revenue model

Open-source smart contract template is free. Revenue comes from the audit ecosystem, the verification API (SaaS subscription for exchanges), and white-label certification services for exchanges that want their own branded safety layer.

Comparable

Linux is free; Red Hat (IBM) made billions in enterprise services around it. The template is the loss-leader; the platform is the business.

Capital required

High: requires developer adoption before revenue. Best pursued after the standard has been adopted by at least two major exchanges.

Risk

Open-source templates can be forked. The business depends on the reputation of the standard, not the code — which is harder to fork.

The Numbers Behind the Gap

\$2 Trillion Total crypto market cap (2024 peak)	\$10B+ Lost to crypto scams annually	2.4 Million Coins in existence today
~99% Of coins worth effectively zero	0 Universal trust standards that exist	\$50M+/yr CertiK earns on partial audits alone
\$3.96B FBI-reported crypto fraud losses in 2023	700% Increase in deepfake investment scams (UK FCA, 2023)	\$100k+ Average pig-butchering victim loss

Addressable Revenue

If 5% of the 2.4 million coins in existence sought certification at an average fee of \$15,000, the initial addressable market is \$1.8 billion in certification revenue alone — before exchange API subscriptions, enterprise licensing, or token economics. Even at 0.5% adoption at \$10,000 average, that is \$120 million in annual recurring revenue.

The more relevant comparison is the financial audit industry. The Big Four accounting firms collectively earn over \$180 billion per year auditing companies against a mandatory standard. Crypto currently has no mandatory equivalent. That is the market the Crypto Trust Standard is positioned to create.

Getting Exchanges to Require the Badge

The central chicken-and-egg problem: exchanges won't require the badge until it has credibility, and it won't have credibility until exchanges require it. The path through this is not to pitch exchanges first — it is to build credibility first, so that exchanges come asking.

Month 1–4

Publish the Whitepaper

This document — or a refined version of it — is the first credibility artifact. A serious whitepaper with a clear technical specification signals that this is a standards body, not a startup looking for attention. Publish it publicly. Submit it to CoinDesk, Decrypt, and Bloomberg Crypto for coverage.

Month 2–6

Launch the Public Safety Scorecard

Before charging anyone, audit 20–50 coins against the four-layer standard manually and publish the results publicly on a 'Rotten Tomatoes for crypto safety' website. Make it searchable. Make it shareable. When an investor Googles a coin and finds a safety score, the platform is useful before anyone has paid for it.

Month 4–8

Build Media & Community Presence

One well-placed story in a major crypto media outlet generates more exchange interest than ten cold pitch emails. Target CoinDesk's Consensus coverage, Decrypt's investigative desk, and Bloomberg's crypto team. The story angle: 'The org trying to be the UL of crypto.'

Month 6–10

Attend One Major Conference

ETHDenver (\$200–500), Consensus by CoinDesk (\$500–2,000), or Token2049 are where exchange compliance officers, regulators, and institutional investors are found in person. One real conversation with a Coinbase or Binance compliance director is worth more than 100 cold emails.

Month 8–18

Approach Regulators as a Partner

The SEC and MiCA are actively writing crypto rules. An industry-built safety standard that regulators can reference — or mandate — is exactly what they are looking for. Submit the standard to the SEC's crypto task force as a comment. Engage with MiCA implementation teams in Europe. Be the solution regulators cite.

Estimated cost to reach credibility (Month 6): under \$3,000 — primarily the conference registration and travel. The whitepaper, website, and media outreach cost time, not money.

What Could Go Wrong and How to Navigate It

Exchange Buy-In

Risk: The critical dependency. Without Coinbase, Binance, or Kraken requiring the badge, adoption is voluntary and adoption will be slow.

Mitigation: Build credibility through the public scorecard and media before approaching exchanges. Frame the ask not as 'adopt our standard' but as 'use our API to show your investors you care about safety.' Start with a smaller exchange (Kraken, Gemini) as the first partner.

Gaming the Standard

Risk: Projects pass the audit, earn the badge, then conduct a rug pull afterwards via mechanisms not covered by the standard. Safemoon passed a CertiK audit.

Mitigation: Annual re-certification with automated quarterly on-chain monitoring. Badge revocation built into the TrustRegistry contract. Any anomalous sell pattern triggers an automated review and public notice within 24 hours.

Regulatory Preemption

Risk: Governments build their own mandatory frameworks (SEC, MiCA) that make the private standard redundant.

Mitigation: This is also a validation event. If regulators mandate the category, the organisation that already has the operating standard is the obvious compliance partner. Position early with regulators as the industry solution, not a competitor to government action.

Incumbent Competition

Risk: CertiK or Hacken expands their offering to become a full-stack standard, competing directly with this platform.

Mitigation: The moat is not the audit — it is the four-layer bundle and the exchange mandate. Incumbents' customers are the coins; this platform's customers are the exchanges. Different distribution, different incentives.

Open-Source Fork

Risk: Someone forks the smart contract template and launches a competing 'standard' using the same code.

Mitigation: The standard is not the code — it is the registry, the badge, and the exchange relationships. A fork of the code without the exchange mandate is worthless. The brand and the relationships are the defensible asset.

From Whitepaper to Working Standard

The following 18-month roadmap takes the Crypto Trust Standard from this document to a functioning certification body with at least one exchange partner and 50+ certified coins.

Phase 1

Months 1–4 — Establish Credibility

- ✓ Publish this whitepaper publicly (GitHub + dedicated website)
- ✓ Build public safety scorecard — audit 20 coins manually against the four layers
- ✓ Submit standard to SEC crypto task force public comment process
- ✓ Register the organisation (likely as a Delaware LLC or nonprofit)

Phase 2

Months 4–8 — Build the Platform

- ✓ Develop the TrustRegistry smart contract (open source, audited)
- ✓ Build the verification API — exchanges can query badge status in real time
- ✓ Attend one major conference; make contact with exchange compliance officers
- ✓ Secure first 3 paying certification clients at a discounted 'founding partner' rate

Phase 3

Months 8–14 — First Exchange Partner

- ✓ Negotiate badge display integration with a Tier 2 exchange (e.g. Kraken, Gemini)
- ✓ Publish joint press release: exchange commits to displaying Trust Badge on certified coins
- ✓ Launch automated quarterly monitoring for all certified coins
- ✓ Target: 20 certified coins on the registry

Phase 4

Months 14–18 — Scale & Regulatory Alignment

- ✓ Approach Coinbase and Binance with exchange-partner proposal
- ✓ Submit standard to MiCA implementation bodies in the EU as a compliance framework
- ✓ Target: 100 certified coins, \$1M annual recurring revenue
- ✓ Evaluate Option B (Trust Token) feasibility based on market feedback

Who This Is For and What to Do Next

This whitepaper is a working document, not a finished product. It is deliberately published at the earliest stage so that the people who should shape this standard can influence it before it is set.

Exchange Compliance Teams	If your exchange is spending time and resources making listing decisions coin by coin, this standard is infrastructure that decision away from you. We would like to understand what your compliance team would need from a trust badge to display it.
Crypto Projects & Founders	If you are building a legitimate coin and struggling to differentiate yourself from scammers, early certification at a founding partner rate is available. You will shape the standard and gain the badge before it is required.
Institutional Investors	If your fund's due diligence process includes crypto and the current lack of a safety standard is a risk-management problem, we would like to hear how the Trust Badge would need to work for your investment process to rely on it.
Regulators & Policy Teams	If you are writing crypto safety rules and looking for an industry-built framework to reference or mandate, this document is the starting point for that conversation.
Technical Partners	If you are a blockchain engineer, auditing firm, or identity provider who sees a role for your technology in the four-layer standard, we want to talk about the technical specification together.

"The question is not whether crypto needs a safety standard. The question is who builds it — regulators, or the industry itself."

APPENDIX — KEY TERMS

Glossary

Blockchain	A public, permanent, decentralised ledger of all transactions, maintained by a network of computers with no single owner.
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Smart Contract	Self-executing code stored on a blockchain that runs automatically when predetermined conditions are met — no human middleman required.
Liquidity Pool	A reserve of funds (usually two currencies) that backs the trading of a cryptocurrency pair, enabling buyers and sellers to trade without a direct counterparty.
Rug Pull	A scam where project creators drain the liquidity pool, crashing the coin's value to zero and disappearing with the funds.
Pump & Dump	A scheme where large holders buy a coin cheaply, artificially inflate its price through hype, then sell all at once.
Vesting Schedule	A timeline that controls when locked funds are released. Used to prevent founders from selling all their coins immediately.
Anti-Whale Rule	A smart contract rule that prevents any single wallet from holding more than a set percentage of total supply.
ERC-20	The most common technical standard for tokens on the Ethereum blockchain. Most new coins are built to this standard.
ZK-Proof	Zero-knowledge proof: a cryptographic method that lets someone prove they know something (e.g. their identity) without revealing the underlying data.
TrustRegistry	The central on-chain database (smart contract) that records certified coins, verified identities, and authorised platforms.
MiCA	Markets in Crypto-Assets — the European Union's regulatory framework for cryptocurrency, which came into force in 2024.
CertiK / Hacken	Leading smart contract auditing firms that review code for technical vulnerabilities — but do not certify scam-resistance behaviour.